

Five-Year Accumulation Plan

\$1.9M in 85% S&P 500 / 12% MOSE forever stocks / 3% hunt sleeve, \$300k reserve, pre-tax IRA converted to Roth from outside cash, \$55k a year of new money

Prepared for Joe Lynch, September 26, 2026 (revision 2). Companion to *retirement-plan.md* in the MOSE repository. Illustrative projections, not tax or investment advice.

1. The plan

Build a **\$1.9 million** portfolio over the next six months, invest it **85% S&P 500** index fund, **12% MOSE forever compounders** (GOOGL, AMZN, BRK.B, AAPL, MSFT, META, COST, MELI, CSU, WMT) and **3% hunt sleeve** (10x-to-100x candidates from the *Next Amazon Hunt* paper), and never touch it. Hold a separate **\$300,000 reserve** in SGOV. Convert the whole pre-tax IRA balance to Roth over seven to ten years, paying every dollar of the tax from cash **outside** the IRA and outside the \$1.9M. Add **\$30,000 a year to the Roth 401(k)** and **\$25,000 a year to the taxable sleeve** for five years. Raise household cash flow by about **\$75,000 a year**.

Where the \$1.9M comes from. Joe's build, at the values in the plan:

Source	Amount	Timing	Note
Joe's IRA (IBKR)	\$948k	now	pre-tax; 89% SGOV today
Keli's Rollover IRA (IBKR)	\$202k	now	pre-tax; keep titled as inherited until 59½
Joint brokerage (IBKR)	\$338k	now	taxable; Keli's half stepped up 7/22/2026
Small accounts (Robinhood, Vanguard, IBKR individual, WellsTrade)	~\$17k	now	taxable
1414 Bay Terrace buyout from Joe's brother	\$500k	early 2027	cash; classify as loan repayment or sale (plan action list)
Sale of the Old School Firehouse and one of the three buildable lots	~\$400-500k	2026-2027	taxable gain on the sale, half stepped up if jointly titled
Total pool	~\$2.4-2.5M		
Invested at 85/12/3	\$1.9M	over six months	of which ~\$1.15M pre-tax IRA, ~\$0.75M taxable
Reserve in SGOV	\$300k		never invested
Left over	~\$200k		the 2026-2028 conversion-tax fund (section 3)

The eight South Carolina lots inside Tuckerton Lumber are **not** part of this plan. Earlier drafts assumed a lot-sale program to fund retirement; Joe's build uses only the brokerage accounts, the brother payment and the firehouse-plus-one-lot sale, so the lot program is dropped from the conversion schedule below.

The extra \$75,000 a year, itemized.

Piece	Amount	Taxable?	Note
Tuckerton Lumber distribution: \$100k a year to the partners, Joe's 48.33%	~\$48k	Yes, ordinary	If the \$303k of current income already includes Joe's K-1 share of profit, the distribution is cash already taxed and the conversion room below is better than shown. Confirm with the CPA.
Bills, subscriptions and belt-tightening no longer needed	~\$10k	No	Spending cut, not income
381 12th St short-term rental (Airbnb), net of costs	~\$15-20k	Yes, Schedule E	Not collected the last couple of years; depreciation on Keli's stepped-up half offsets part of it

Piece	Amount	Taxable?	Note
Total	~\$75k	~\$65k taxable	Tax on the taxable part: ~\$20k a year while working, ~\$18k retired

2. Assumptions

Item	Assumption
Deployment	\$1.9M invested over six months from now (modeled as 75% market exposure in year 1, the rest earning 4% in SGOV while it waits)
Return	S&P 500 10% a year with 17% volatility (long-run average). MOSE picks assumed to match the S&P at 20% volatility; hunt sleeve at 45%. Alternate cases at 14.7% (last decade) and 7% (weak decade). The IRA money is inside the 85/12/3 mix, so the unconverted balance grows at 10% too.
Contributions	\$30k Roth 401(k) + \$25k taxable sleeve = \$55k a year, 2026 to 2030, nothing after
Withdrawals	None. The \$1.9M is never touched.
Reserve	\$300k in SGOV at 4%, outside the portfolio and outside the Monte Carlo
Income	\$303k salary and K-1 through 2030, then ~\$60k; plus ~\$65k of taxable extra income every year (distribution share + Airbnb). Filing joint / qualifying surviving spouse 2026-2028, head of household 2029-2031, single after.
Sale gain	~\$150k of long-term gain in 2026 from the firehouse and lot (assumed; depends on basis and title). It pushes the 2026 conversion rate up a few points.
Conversion tax	2026 federal brackets (post-OBBA) plus New Jersey gross income tax, always paid from outside the IRA and outside the \$1.9M
Method	20,000-path Monte Carlo per case plus a straight-line path at the assumed average. Nominal dollars. Taxes on the taxable account's dividends and gains are ignored (roughly 0.3 to 0.5% a year of drag on that slice).

3. Roth conversion: a \$75k-a-year tax budget, finished in 2033

Joe's rules: never pay the tax from the IRA, keep the yearly tax burden manageable, seven or ten years is fine. Nine schedules were tested against the new income, with the IRA compounding at 10% inside the portfolio. The one that fits the rules best is **schedule E: convert whatever \$75,000 of tax buys each year, every year, until the IRA is empty**. It finishes in 2033 (eight years).

Year	Age	Filing	Convert	Tax (from outside)	Combined rate	IRA left after
2026	57	joint	\$188k	\$75k	40%	\$1,044k
2027	58	surviving spouse	\$203k	\$75k	37%	\$925k
2028	59	surviving spouse	\$203k	\$75k	37%	\$795k
2029	60	head of household	\$179k	\$75k	42%	\$678k
2030	61	head of household	\$179k	\$75k	42%	\$549k
2031	62	head of household	\$212k	\$75k	35%	\$371k
2032	63	single	\$210k	\$75k	36%	\$177k
2033	64	single	\$177k	\$63k	36%	\$0
		Total	\$1,549k	\$588k	38%	

Why not just fill the 24% bracket and take longer? Because the IRA is now invested at 10%, not parked in SGOV at 4%. Converting only the 24% room (~\$67k a year while working, ~\$92k a year retired) never catches the growth: after twelve years the IRA is *bigger* than today (\$1.87M) and RMDs at 75 land on a \$3M+ balance. Pausing in 2029 and 2030 has the same problem on a smaller scale. The compounding argument that makes the 85/12/3 mix attractive is the same argument for converting faster than the bracket math alone would suggest.

Schedule	Done by	Converted	Total tax	Avg rate	Biggest year	IRA left in 2037
A. Fill the 24% bracket only	not by 2037	\$856k	\$262k	31%	\$30k	\$2,052k
C. Fill 32% while joint, pause 2029-30, then 24%	not by 2037	\$1,183k	\$394k	33%	\$69k	\$1,117k
D. Fill 32% while joint, pause 2029-30, then 32%	not by 2037	\$1,564k	\$541k	35%	\$69k	\$549k
E. \$75k of tax a year, no pause (recommended)	2033	\$1,575k	\$597k	38%	\$75k	\$0
F. \$75k of tax a year, pause 2029-30	2036	\$1,815k	\$658k	36%	\$75k	\$0
H. Equal slices over 7 years	2032	\$1,559k	\$602k	39%	\$109k	\$0
I. Equal slices over 10 years	2035	\$1,833k	\$675k	37%	\$100k	\$0

Schedules that convert more dollars show more total tax because the balance keeps growing while they wait; compare the average rate and the finish year, not the total. Schedule E pays 36% to 42% (the 2029 and 2030 slices are the expensive ones, at head-of-household rates while still earning). If Joe would rather skip those two years, schedule F finishes in 2036 at about the same average rate; the cost is three more years of RMD-eligible growth. The equal-slice schedules need \$100k+ of tax in some years, which breaks the outside-cash budget.

Paying for it without touching the \$1.9M. Uses of outside cash versus sources, per year:

Period	Uses	Sources	Balance
2026-2028	Conversion tax \$75k + Roth 401(k) \$30k + sleeve \$25k = \$130k	Raise, net of its own tax ~\$55k; the ~\$200k left over from the pool build spread over three years ~\$67k; TLC catch-up and Zone Storage receivables ~\$220k if collected	Closes with the receivables; tight without them. Reserve is the backstop.

Period	Uses	Sources	Balance
2029-2030	Same \$130k	Raise ~\$55k; Chromascape earn-out \$100k if paid; remaining receivables	Short ~\$50-75k a year unless the receivables land; draw the reserve or cut the sleeve contribution
2031-2033	Conversion tax \$75k only	Raise ~\$57k after tax in retirement; Social Security not yet claimed; reserve ~\$380-410k	Reserve covers the gap (~\$20k a year) and stays above \$300k

The raise cannot fund both the conversion tax and the contributions on its own. The receivables owed to Joe (~\$320k: Zone Storage \$150k, Chromascape \$100k, TLC catch-up ~\$72k) are what make 2026 to 2030 close. If they do not come in, the choice is to lean on the reserve or trim the \$25k sleeve contribution; the conversion should not slow down.

4. Where you would be

Portfolio value at the end of year 5 (September 2031) and year 7 (September 2033). Because every dollar of conversion tax comes from outside, the portfolio path is the same under every conversion schedule; the schedule only changes how much of it is Roth. "Straight line" is the arithmetic path at the assumed average; median, 10th and 90th percentiles are from the Monte Carlo. The \$300k reserve is on top of every figure.

Case	5-yr straight line	5-yr median	5-yr 10th / 90th	7-yr straight line	7-yr median	7-yr 10th / 90th	Chance below \$1.9M
Base: S&P 10%, tax from outside	\$3.39M	\$3.24M	\$2.06M / \$4.90M	\$4.10M	\$3.83M	\$2.20M / \$6.37M	5%
S&P 10%, MOSE and hunt beat by 2 pts	\$3.43M	\$3.28M	\$2.09M / \$4.97M	\$4.17M	\$3.88M	\$2.24M / \$6.42M	5%
Last-decade S&P (14.7%)	\$4.10M	\$3.93M	\$2.54M / \$5.86M	\$5.40M	\$5.09M	\$2.98M / \$8.27M	1%
Weak decade (7%)	\$2.98M	\$2.86M	\$1.78M / \$4.37M	\$3.42M	\$3.17M	\$1.80M / \$5.33M	12%
For comparison: no contributions	\$3.02M	\$2.88M	\$1.78M / \$4.41M	\$3.65M	\$3.39M	\$1.94M / \$5.73M	9%
What NOT to do: tax paid from the portfolio	\$2.68M	\$2.54M	\$1.53M / \$4.00M	\$3.24M	\$2.99M	\$1.64M / \$5.12M	17%

Read it this way. At a plain 10% S&P decade, the \$1.9M plus \$275k of contributions is about **\$3.24M** in five years and **\$3.83M** in seven (straight line \$3.39M and \$4.10M), with a one-in-ten bad outcome near \$2.20M and a one-in-ten good one near \$6.37M. About one path in twenty ends below \$1.9M after seven years. Add the reserve: ~\$365k at year 5, ~\$395k at year 7.

The rule that matters most. The last row shows what happens if the conversion tax were pulled out of the portfolio instead: the seven-year median falls from \$3.83M to \$2.99M and the chance of ending below \$1.9M triples. Joe's rule (tax from outside, always) is worth more than any stock pick in the plan. The MOSE and hunt names beating the index by two points adds only about \$51k at year 7, because they are 15% of the money.

Regime. A repeat of the last decade lands near \$5.09M at year 7; a weak 7% decade near \$3.17M. Plan around 10%.

5. Year-by-year path, seven years (base case, 10%, schedule E)

Straight-line path. Contributions are added at the start of each year; conversions move money from the pre-tax column to the Roth column with the tax paid from outside. Year 1 earns a blended 8.5% because the money goes in over six months.

End of	~Date	Total portfolio	of which Roth	of which pre-tax IRA	of which taxable	Reserve	Converted that year	Tax paid outside	New money
Year 1	Sep 2027	\$2.12M	\$0.24M	\$1.04M	\$0.84M	\$312k	\$188k	\$75k	\$55k
Year 2	Sep 2028	\$2.39M	\$0.52M	\$0.93M	\$0.95M	\$324k	\$203k	\$75k	\$55k
Year 3	Sep 2029	\$2.69M	\$0.82M	\$0.79M	\$1.08M	\$337k	\$203k	\$75k	\$55k
Year 4	Sep 2030	\$3.02M	\$1.14M	\$0.68M	\$1.21M	\$351k	\$179k	\$75k	\$55k
Year 5	Sep 2031	\$3.39M	\$1.48M	\$0.55M	\$1.36M	\$365k	\$179k	\$75k	\$55k

End of	~Date	Total portfolio	of which Roth	of which pre-tax IRA	of which taxable	Reserve	Converted that year	Tax paid outside	New money
Year 6	Sep 2032	\$3.73M	\$1.86M	\$0.37M	\$1.49M	\$380k	\$212k	\$75k	\$0
Year 7	Sep 2033	\$4.10M	\$2.28M	\$0.18M	\$1.64M	\$395k	\$210k	\$75k	\$0
Year 8	Sep 2034	\$4.51M	\$2.70M	\$0	\$1.81M	\$411k	\$177k	\$63k	\$0

At year 7 (September 2033): about \$4.10M in the portfolio, of which **\$2.28M is Roth** (56%), \$1.64M is taxable with Keli's half stepped up, and only \$177k is still pre-tax. One more year and the IRA is gone: \$4.51M at year 8 with \$2.70M in Roth. Plus the reserve, ~\$395k. From 2034 on, every dollar of retirement income comes from Roth, stepped-up taxable money, the 381 12th St rent, the TLC distribution and Social Security, with no required distributions at 75.

Calendar note: the model year runs September to September. "Year 1" ends around September 2027, and the conversion listed against it is the calendar-2026 conversion (done before December 31, 2026).

6. Caveats

- The 85/12/3 mix is, after look-through, roughly 90% large-cap US stock. It has one bet: the US market keeps compounding. The \$300k reserve is outside it and is the only cushion.
- The \$75k raise is assumed, not in hand. The TLC distribution depends on the business paying it every year; the Airbnb income depends on running 381 12th St as a short-term rental. If the taxable pieces are already inside the \$303k, conversion rates fall a few points.
- The firehouse and lot sale gain (~\$150k assumed) is a guess. Basis, title and whether Keli's half stepped up decide the real number. Sell in 2027 rather than 2026 if the CPA wants to keep it out of the year with the largest conversion.
- Conversion tax uses 2026 brackets unindexed. Indexing helps a little each year. If the CPA finds New Jersey basis in the IRA, the NJ share falls.
- Head-of-household status through 2031 needs a qualifying child at home; the youngest daughter turns 24 in about 2031. Confirm with the CPA.
- Monte Carlo percentiles assume roughly normal yearly returns. Real markets have fatter tails; the 10th percentile is a guide, not a floor.
- Nothing here is inflation-adjusted. At 3% inflation, \$4.10M in 2033 buys what about \$3.3M buys today.

7. What to do in the next 90 days

- **Open the Roth IRA at IBKR** (in progress) and roll Keli's ADP Roth 401(k) into it.
- **2026 conversion: ~\$188k of SGOV in kind** from Joe's IRA before December 31, in two or three tranches, the last after the CPA confirms 2026 taxable income and the sale gain. Buy the forever-compounder names inside the Roth with it.
- **Confirm with the CPA** whether the \$48k TLC distribution is new taxable income or already in the \$303k, and what the firehouse and lot sale gain will be.
- **Raise the ADP Roth 401(k) deferral** so 2026 contributions reach \$30k (limit with catch-up is \$32.5k).
- **Set up estimated tax payments** at the 110% safe harbor.

- **Chase the receivables:** Zone Storage \$150k, TLC catch-up ~\$72k, Chromascape \$100k. They are the 2026-2030 conversion-tax money.
- **Label the cash:** \$300k living reserve in SGOV; ~\$200k conversion-tax fund in SGOV; the \$500k brother payment (early 2027) into the \$1.9M build.
- **List the firehouse and one lot.** Pull the deeds first (joint title means a half step-up).
- **Begin the six-month deployment:** roughly \$315k a month into 85/12/3. Put the 12% and 3% sleeves in the Roth where possible; keep the S&P fund in the IRA and taxable accounts.

Sources: retirement-plan.md; IBKR positions of September 17, 2026; JFL_Financial_Master.xlsx; 2026 federal and New Jersey tax tables; model scripts accum2.py, conv3.py and plan.py. Prepared with Claude Code.